

Standard Chartered Plc (HK) (2888)

ROTE expansion meets undemanding valuation -
OW, watch 2Q and May Investor Day

STAN's 1Q26 result was a strong beat ([link](#)). We raise our EPS by 2–3% across 26e/27e/28e and lift our ROTE forecasts to 13.0%/15.1%/15.5%, respectively. We believe the market has looked through the Middle East conflict risks and is refocusing on fundamentals, such as growth and total return. We reiterate our OW rating on STAN, supported by ROTE expansion and undemanding valuation, particularly when compared with DM banks peers (Figure 2). That said, we prefer HSBC over STAN at this juncture. We see a higher risk of a softer 2Q print due to tougher non NII base effects and sequentially flattish NII amid lower rates. In addition, with our ROTE forecasts already reaching 15.1%/15.5% in 2027/2028, it is more challenging to deliver upside surprise in medium term guidance at the May Investor Day.

- **Takeaway from 1Q26 briefing is mixed:** On the positive side, clarity for assessing Middle East-related provisions reduces concerns about a material step-up in impairment charges in coming quarters. We also expect the CET1 ratio to stabilize despite the 74bps q/q decline in 1Q26, as management attributed the RWA increase to seasonality and one-off factors. On the other hand, management commentary on loan deployment, while ROTE-accretive, may cap upside to share buybacks, in our view. The key near-term negative is 2Q outlook: management highlighted tougher comparisons against 2Q25, which included a one-off Ventures gain (\$238mn) and strong episodic FM income (\$397mn). In addition, NII tailwind is capped due to lower rates implied by the blended forward yield curve (1Q: 297bps; 2Q: 294bps). Thus, despite the strong 1Q26 momentum carrying over into 2Q, management left its earnings guidance unchanged.
- **Market is looking past the Middle East conflict:** STAN's share price has risen 17% over the past month (vs HSI +3%). Net share price performance since the start of the conflict is -4% (vs HSI -3%), despite the Middle East representing ~6% of Group exposure and ~4% of Group assets as of Mar-2026 and 12% of PBT in 2025, suggesting the market does not expect a meaningful hit to revenue or a step-up in impairment charges from the conflict. This aligns with management's view that a prolonged conflict could shift returns and loan demand, but overall stance remains constructive, and through-the-cycle credit cost guidance (30–35bps) remains intact.
- **Key estimate changes.** We raise EPS estimates by 2%/3%/3% for 2026–2028E and now forecast normalized ROTE of 13.0%/15.1%/15.5%, implying total return of 7.0/8.5/8.8% respectively. We forecast FY26E NII growth of +1% y/y, with deposit/loan growth of 6%/4% offset by lower rates, normalization of pass-through rates, and WRB portfolio disposals. We forecast non-NII growth of +11% in FY26E, driven by Wealth +25% y/y (supported by record net new money in 1Q), Markets +6% y/y (Flow income +14% y/y), and Banking +10% y/y. As a result, our DDM-based PT rises from HK\$270 to HK\$275.

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

Overweight

2888.HK, 2888 HK

Price (30 Apr 26): HK\$190.80

▲ **Price Target (Dec-26): HK\$275.00**
Prior (Dec-26): HK\$270.00

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Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (\$)	2.26	2.30	1.8%
Adj. EPS - 27E (\$)	2.75	2.84	3.1%

Quarterly Forecasts (FYE Dec)

Adj. EPS (\$)	2025A	2026E	2027E
Q1			
Q2			
Q3			
Q4			
FY	1.91	2.30	2.84

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	36	36	31	30	57
Growth	68	56	37	28	51
Momentum	27	24	7	14	52
Quality	55	85	65	31	78
Low Vol	43	27	27	55	62

See page 11 for analyst certification and important disclosures, including non-US analyst disclosures.

Price Performance



Company Data

Shares O/S (mn)	2,322
52-week range (HK\$)	206.00-108.20
Market cap (\$ mn)	56,548
Exchange rate	7.83
Free float (%)	100.0%
3M ADV (mn)	1.55
3M ADV (\$ mn)	36.0
Volatility (90 Day)	38
Index	HSI
BBG ANR (Buy Hold Sell)	16 6 4

Key Metrics (FYE Dec)

\$ in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Net interest income	11,184	11,372	11,600	12,079
Non interest income	9,645	10,671	11,529	12,391
Operating expenses	(13,145)	(13,232)	(12,947)	(13,585)
Adj. PPOP	7,684	8,810	10,183	10,885
Provision for loan losses	(672)	(1,059)	(1,023)	(1,134)
Adj. PBT	7,009	7,736	9,160	9,751
Adj. net income	4,592	5,097	6,044	6,463
Adj. EPS	1.91	2.30	2.84	3.18
BBG EPS	-	-	-	-
DPS	0.61	0.80	0.99	1.11
Loans	286,788	298,403	310,708	323,546
Deposits	530,161	559,924	593,176	620,633
Total Assets	919,955	957,543	997,261	1,038,702
Margins and Growth				
NIM	2.0%	2.0%	1.9%	1.9%
Ratios				
Loan/ Deposit ratio	54.1%	53.3%	52.4%	52.1%
NPL / Loans	2.1%	2.0%	2.0%	1.9%
Coverage	51.8%	51.8%	51.8%	51.8%
CET 1	14.1%	13.6%	13.7%	13.8%
Non-int. income/ Income	46.3%	48.4%	49.8%	50.6%
Cost/Income	63.1%	60.0%	56.0%	55.5%
LLP/Loans	(0.2%)	(0.4%)	(0.3%)	(0.4%)
ROA	0.5%	0.5%	0.6%	0.6%
ROE	10.1%	10.9%	12.6%	12.9%
Valuation				
Dividend yield	2.5%	3.3%	4.1%	4.6%
Adj. P/E	12.8	10.6	8.6	7.6
P/ BV	1.2	1.1	1.0	0.9

Summary Investment Thesis and Valuation

We view StanChart as undervalued relative to the sector/EM peers at 1.3x PTNAV 27E with significant earnings growth potential supported by structural growth drivers and relatively high capital return. With the Group's 24-26E targets already achieved by FY25 across revenues and distributions, we now forecast ~6% revenue CAGR across '25-28E driven by non-NII in '26E, and broadening out to both NII/non-NII in outer years. We see this led by Wealth (driven by Affluent segment opportunities), Financial Markets (alongside cross-border income) and Banking. We expect NII to be largely flat in FY26 y/y due to lower rates and pass throughs offset by volume growth. We expect a ~1% cost CAGR for '25-28E as we expect growing investments in the future to capitalize on productivity and revenue opportunities, with positive operating leverage annually and the CIR to decline towards mid-50s. Overall, we expect stated ROTE to grow to ~15%, alongside a 35% dividend payout ratio and \$2-2.5bn/y buybacks, offering a total yield of 7-9%/y. Maintain OW.

Our Dec-26 PT of HK\$275 is derived from our DDM analysis with NAV discounted back to Dec-26 from FY28E and a fair P/B of 1.5x. Our key assumptions are a normalized ROE of 12.1% and a cost of capital of 9.3%.

Performance Drivers

Market	22%
Region	11%
Macro	32%
Style	0%
Idiosyn.	36%

Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.41	0.59
Region: Hong Kong	0.63	0.44

Macro:		
HSI Volatility Index	-0.45	-0.53
JPM Global Equity Sentiment	0.30	0.28
JP Morgan EMBI Global Spread	-0.16	-0.18

Quant Styles:		
Value	0.09	0.13
LowVol	0.13	0.08
DivYld	0.07	0.05

Key takeaways from the analyst briefing

We see this as mixed. On the positive side, more details on how to derive the \$190mn on Middle East conflict eases concern on material increase in provision in the coming quarters. Management explained that RWA increase in 1Q was partly due to seasonality, and that the ~20bps drag from “others” on capital should not repeat at the same magnitude; on top of this, comment on profitable loan deployment support ROTE expansion, but this could cap upside on share buyback. On the negative side, 2Q results could face tougher comparisons in 2Q25 with one-off Ventures gain and strong episodic print, and a sequential decline in rates based on the forward yield curve, limiting upside on FY26 revision

Impact of Middle East conflict on provisions and capital

- **\$190m overlay anchored to two downside scenarios.** Management disclosed that the \$190m of overlays taken in 1Q26 are underpinned by two downside scenarios weighted at 70% combined: the new Sustained Middle East Conflict (SMEC) scenario at 45% and the Bank Capital Stress Test (BCS) at 25%. The scenarios are assessed holistically across oil price, GDP, unemployment, and interest rates. The BCS is the more severe of the two, with an implied downside of ~\$500m. Management explained that the base case remains a pre-war scenario, which justifies the >50% combined weighting on downside outcomes; future updates will recalibrate the base to reflect the changed environment.
- **Through-the-cycle credit cost guidance intact; write-backs premature with uncertain outlook.** Management characterized the outlook as highly uncertain, noting that overlays will be revisited each quarter. Despite the \$190m charge, 1Q26 loan-loss rate (32bps) remained within the 30-35bps guidance, which management stressed is a through-the-cycle guidance rather than a quarterly forecast. Management stated it is too early to discuss write-backs, as the duration of the conflict remains unknown. Importantly, management noted no material drawdowns on client revolving facilities as a result of the conflict, suggesting credit stress has not yet migrated from overlays to actual losses.
- **Sovereign downgrade risk is manageable.** The overlays incorporate potential sovereign downgrades focused on oil-importing countries with limited fiscal headroom. Management described the RWA impact of such downgrades as manageable, and within the existing guidance.

Impact of Middle East conflict on customer behavior and deposit flows

- **No notable shift in deposit behavior.** Management reported no observable behavioral shift in deposit dynamics despite the conflict. Net new money inflows in 1Q were predominantly into wealth solutions rather than deposits, with Wealth Solutions income up 32% YoY at ccy. There was very little “stepping away from the market”; clients have reallocated within portfolios, but funds have remained within the bank. Management is pleased with the deposit growth, but noted no particular flight-to-safety dynamic.
- **NNM sources and flow income broadly unchanged post conflict.** Net new money continues to be sourced from global Indians, global Chinese, rest of ASEAN, and the Middle East, with underlying trends consistent with prior periods. Some Middle East portfolio reallocation occurred within the network (captured primarily in Hong Kong), but this represents reconfiguration rather than

incremental NNM. Flow income was fairly consistent throughout the quarter and not specifically conflict-driven; transaction flows remained strong. Overall, management concluded that very little of the 1Q performance was specifically conflict- or event-driven.

FY26 guidance unchanged; while 2Q faces tougher comps

- Management noted that 1Q momentum has carried into early 2Q but cautioned the tougher comparisons in 2Q25 with one-off Ventures gain and strong episodic print. NII guidance remains broadly flat YoY at ccy, reflecting headwinds from the rate curve and WRB portfolio actions (~2% impact). Management kept full-year reported income growth guidance at the lower end of 5-7%, statutory RoTE of >12%, and broadly flat reported costs. Management indicated a medium-term financial framework will be presented at the May investor event.

Capital deployment and RWA growth

- **Profitable loan deployment driving RoTE expansion.** Management expressed confidence in the pipeline of lending opportunities, which were deployed profitably in 1Q, with underlying loans growing 3.4% q/q. ROTE improved in 1Q to 17.4% despite RWA growth, suggesting accretive capital deployment. Management acknowledged that a prolonged Middle East conflict could lead to shifts in both returns and loan demand, but the overall posture remains constructive.
- **High RWA growth partly due to seasonality.** 1Q CET1 at 13.4% is within the 13-14% operating range. Management noted the q/q RWA increase (+\$8.2bn or 3%) was amplified by seasonal market risk RWA rebuild off a low Q4 base (~\$3bn from market risk alone) and counterparty credit risk due to volatility. Management expects more flatter RWA growth through the remainder of the year. Capital will continue to be deployed where accretive and otherwise redeployed or returned.
- **Impact from “Others” (20bps) in the capital walk largely non-recurring.** The drag was driven by 1Q-skewed employee share awards, a DVA (debit valuation adjustments) gain recognized in income but excluded from regulatory capital, and increased PVA (prudential valuation adjustments) haircuts from market volatility. Management indicated this should not repeat at the same magnitude, though DVA/PVA remain market-dependent.

NII guidance maintained amid offsetting factors

- **Management reiterated broadly flat NII guidance for FY26,** noting the updated market-implied forward curve shows lower near-term rates but higher 2H rates versus the Feb curve, which broadly offset. However, headwinds from WRB portfolio actions and expected normalisation of CIB pass-through rates remain embedded in the outlook. On PTRs specifically, management noted this is a CIB-focused issue with PTRs still above expected levels, quantifying the sensitivity at ~\$30m NII per 1ppt PTR shift. Internal models still suggest further pressure ahead, and management believes this is not stale commentary as the rate cycle has not yet turned.

Other key takeaways from the briefing

- Wealth: structural tailwinds support sustained growth beyond the 1Q print.**
 The 4% q/q AUM decline partly reflects FX headwinds from dollar strength rather than underlying weakness. Leading indicators - NNM of \$18bn (16% annualised AUM growth), new client acquisition, and deposit-to-wealth product migration - remain strong. Management acknowledged that 30%+ growth is not indefinitely extrapolatable but pointed to structural drivers including Affluent segment investment and growing brand recognition as a safe haven across Asia, Middle East, and Africa. The steady migration of new money from deposits into wealth products is largely unchanged in both 1Q and early 2Q.
- Global Markets: infrastructure investment supported the ~10% flow income CAGR.** Record flow income (+17% y/y) in 1Q reflects sustained investment in e-trading platforms, messaging latency reduction, and improved internal connectivity between cash management, trade finance, wealth, and dealing desks. Management framed the strategy around a higher-velocity, originate-to-distribute model. Flow income has compounded at ~10% annually over a sustained period, yet management believed it is not yet quite halfway through the opportunity, implying room for further upside.
- Strategic positioning as “client excellence” rather than volatility dependence.** Management rejected the “volatility play” label and categorized the bank as “client excellence play”, citing ~10% compound flow income growth through both volatile and calm periods, and Global Banking up >20% y/y with financing volumes rising counter-cyclically in 1Q. The implication is that a peaceful conflict resolution in Middle East would be net positive (lower overlays, improved macro) rather than a revenue headwind, as the franchise is structurally rather than episodically driven.

Table 1: Change in weighting in each economic scenario

Weighting	1Q26	4Q25
Base Forecast	30%	59%
Market Correction (4Q25)/SEMC (1Q26)	45%	26%
Bank Capital Stress Test	25%	15%

Source: Company report. Note: SEMC is Sustained Middle East Conflict scenario introduced in 1Q26, which explores a modest escalation 2Q26 and more prolonged period of heightened tensions across the region, leading to sustained oil price pressures from supply disruption, with global GDP only returning to baseline growth in year 3 of the scenario.

Table 2: Key parameters in each economic scenario

Metrics (in % unless otherwise stated)	Base		Sustained Middle East Conflict		Bank Capital Stress Test	
	Five year avg	Peak/Trough	Five year avg	Peak/Trough	Five year avg	Peak/Trough
China GDP	4.3	4.7 / 3.8	4.0	4.7 / 2.6	3.3	5.0 / (1.3)
China unemployment	3.3	3.4 / 3.3	3.5	3.8 / 3.3	4.4	5.0 / 3.6
China property prices	0.1	2.5 / (2.5)	-0.5	2.7 / (4.4)	-3.9	11.0 / (12.1)
Hong Kong GDP	2.5	3.5 / 2.0	2.0	2.8 / 0.2	0.7	3.6 / (6.9)
Hong Kong unemployment	3.3	3.6 / 3.2	3.8	4.8 / 3.2	6.7	8.2 / 4.2
Hong Kong property prices	4.2	4.9 / 3.3	3.4	4.4 / 1.8	-3.1	7.8 / (10.0)
US GDP	2.0	2.4 / 1.7	1.7	2.0 / 0.4	0.2	1.5 / (3.6)
Singapore GDP	2.5	4.1 / 0.5	1.9	3.8 / (1.9)	0.9	3.7 / (6.0)
India GDP	6.6	7.2 / 6.0	6.0	7.1 / 3.9	5.0	6.5 / 0.4
Korea GDP	1.9	2.4 / 1.6	1.4	2.0 / (0.5)	0.7	3.2 / (4.3)
UAE GDP	3.8	5.4 / 2.8	3.2	4.7 / 1.0	2.7	4.7 / (0.2)
Crude oil (ln US\$/bbl)	70.9	76 / 65	89.3	135.7 / 70	111.4	150.5 / 81.9

Source: Company report.

Key estimate changes

- We forecast FY26E NII of \$11.4bn and +1% y/y with deposits/loan growth of 6%/4% offset by interest rate reductions (c42bps reduction in the Group's currency weighted curve with every 100bps parallel reduction worth \$620m), a normalisation of pass-through rates (with every 1% beta worth c\$30m annl.), and portfolio disposals worth c2% of NII.
- We forecast non-NII growth of +11% in FY26E with Wealth Mgmt +25% y/y with record net new money growth in 1Q, Markets +6% y/y with Flow income +14% y/y with strong 1Q, and Banking +10% y/y.
- We forecast stated costs of \$13.2bn 26E, in line with guidance.
- As a result, we have increased our EPS estimates by 2%/3%/3% in 2026-28 respectively and revised up our Dec-26 PT to HK\$275 from HK\$270.

Table 3: Summary of key estimate changes

	FY26E new	FY26E old	% Δ	FY27E new	FY27E old	% Δ	FY28E new	FY28E old	% Δ
Net Interest Income	11,372	11,264	1%	11,600	11,542	0%	12,079	12,022	0%
Non Interest Income	10,671	10,751	-1%	11,529	11,630	-1%	12,391	12,343	0%
Total Income	22,043	22,015	0%	23,129	23,172	0%	24,471	24,365	0%
Operating Costs	-13,232	-13,307	-1%	-12,947	-13,313	-3%	-13,585	-13,701	-1%
Pre Provision Operating profit	8,810	8,708	1%	10,183	9,859	3%	10,885	10,664	2%
Loan Impairments	-1,059	-996	6%	-1,023	-1,034	-1%	-1,134	-1,154	-2%
Other Impairments	-25	-10		-10	-10		-10	-10	
Income from Associates	10	62	-84%	10	62	-84%	10	62	-84%
PBT (ex one offs)	7,736	7,764	0%	9,160	8,877	3%	9,751	9,562	2%
Exceptionals (restructuring and litigation)	0	0		0	0		0	0	
PBT	7,736	7,764	0%	9,160	8,877	3%	9,751	9,562	2%
Tax expense	-2,020	-2,174	-7%	-2,473	-2,397	3%	-2,633	-2,582	2%
Post tax profit	5,716	5,590		6,687	6,480		7,118	6,980	
Minority interest and AT1	-13	-13		-13	-13		-13	-13	
Preference Dividends	-606	-580		-630	-603		-643	-615	
Profit attributable	5,097	4,998	2%	6,044	5,864	3%	6,463	6,353	2%
Stated diluted EPS	2.30	2.26	2%	2.84	2.75	3%	3.18	3.10	3%
DPS	0.80	0.79	2%	0.99	0.96	3%	1.11	1.09	3%
Buybacks (m)	2000	2000		2500	2000		2500	2000	
NAVps	18.3	18.4	-1%	19.9	20.0	-1%	21.8	21.9	-1%
RoNAV	13.0%	12.8%		15.1%	14.5%		15.5%	15.0%	
CET1 ratio FL	13.6%	13.8%		13.7%	13.9%		13.8%	14.1%	
Loan impairments rate (on all loans inc. FVTPL)	0.30%	0.28%	2bps	0.28%	0.28%	0bps	0.29%	0.30%	-1bps
Loans	363,743	363,683	0%	378,743	378,551	0%	394,391	394,284	0%
Loan growth	4.1%	4.0%	2bps	4.1%	4.1%	4bps	4.1%	4.2%	-2bps
NPL ratio	2.0%	2.0%	0bps	2.0%	2.0%	0bps	1.9%	1.9%	0bps
Cost of Risk (loan impairment/avg assets)	-11bps	-11bps	-1bps	-10bps	-11bps	0bps	-11bps	-11bps	0bps
Credit cost (loan impairment/avg gross loans incl. FVPL)	-30bps	-28bps	-2bps	-28bps	-28bps	0bps	-29bps	-30bps	1bps

Source: J.P. Morgan estimates.

Table 4: Comparison of JPMe vs company compiled consensus

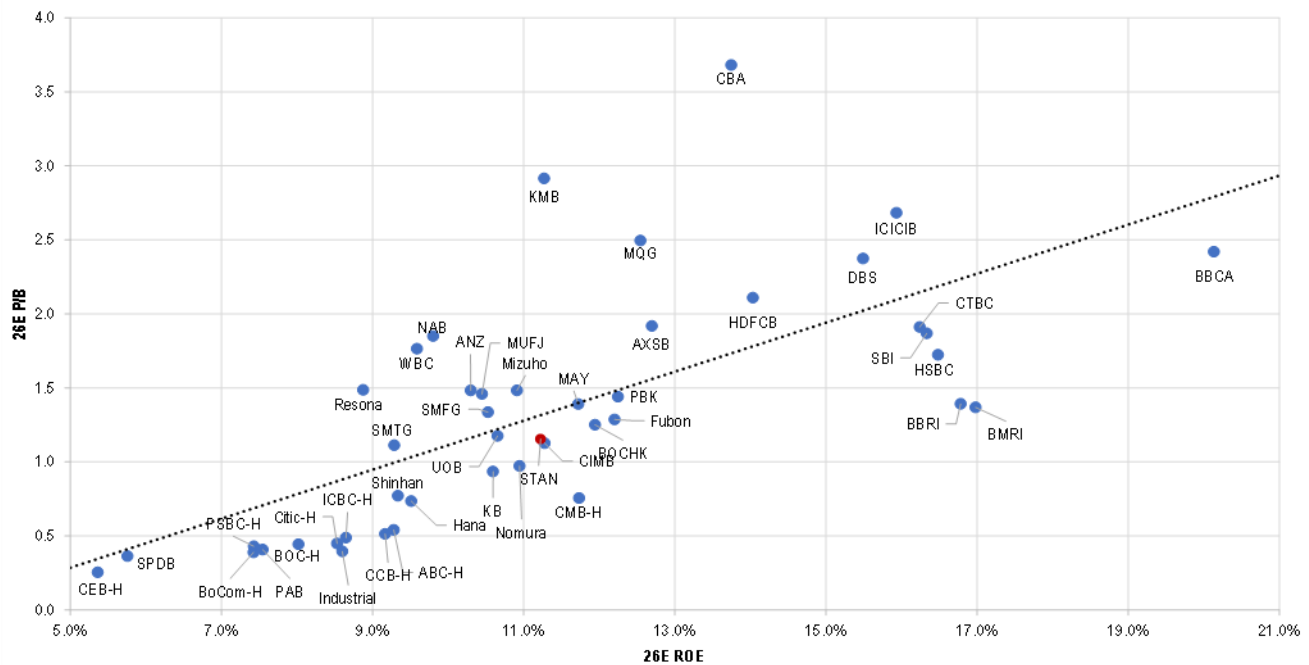
In US\$m	JPM estimates			Company compiled consensus			JPMe vs company compiled cons		
	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Net interest income	11,372	11,600	12,079	11,235	11,498	11,888	1%	1%	2%
Non interest income	10,671	11,529	12,391	10,716	11,629	12,496	0%	-1%	-1%
o.w. Wealth	3,855	4,424	5,030	3,629	4,123	4,618	6%	7%	9%
o.w. Markets	4,096	4,342	4,559	4,182	4,388	4,611	-2%	-1%	-1%
o.w. Others	2,721	2,764	2,802	2,905	3,118	3,267	-6%	-11%	-14%
Operating income	22,043	23,129	24,471	21,951	23,128	24,384	0%	0%	0%
Operating expense	(13,232)	(12,947)	(13,585)	(13,306)	(13,293)	(13,711)	-1%	-3%	-1%
Pre-provision profit	8,810	10,183	10,885	8,644	9,835	10,649	2%	4%	2%
Loan loss provision charge	(1,084)	(1,033)	(1,144)	(1,087)	(1,129)	(1,195)	0%	-9%	-4%
Operating profit before tax	7,726	9,150	9,741	7,557	8,706	9,454	2%	5%	3%
Associate income	10	10	10	49	50	53	-80%	-80%	-81%
Pre-tax profit	7,736	9,160	9,751	7,607	8,756	9,507	2%	5%	3%
Tax charge	(2,020)	(2,473)	(2,633)	(2,163)	(2,440)	(2,633)	-7%	1%	0%
Net profit after tax	5,716	6,687	7,118	5,444	6,316	6,875	5%	6%	4%
Net profit attributable	5,097	6,044	6,463	4,869	5,742	6,297	5%	5%	3%
y/y growth									
Net interest income	1.7%	2.0%	4.1%	0.5%	2.3%	2.5%			
Non interest income	10.6%	8.0%	7.5%	11.1%	8.5%	8.4%			
o.w. Wealth	24.9%	14.8%	13.7%	17.6%	13.6%	4.4%			
o.w. Markets	6.0%	6.0%	5.0%	8.2%	4.9%	6.2%			
o.w. Others	1.0%	1.6%	1.4%	7.8%	7.3%	18.2%			
Operating income	5.8%	4.9%	5.8%	5.4%	5.4%	5.4%			
Operating expense	0.7%	-2.2%	4.9%	1.2%	-0.1%	5.9%			
Pre-provision profit	14.7%	15.6%	6.9%	12.5%	13.8%	4.6%			
Loan loss provision charge	47.1%	-4.7%	10.8%	47.5%	3.9%	15.7%			
Operating profit before tax	11.2%	18.4%	6.5%	8.8%	15.2%	3.3%			
Pre-tax profit	10.4%	18.4%	6.5%	8.5%	15.1%	3.8%			
Net loan	298,403	310,708	323,546	297,900	309,100	320,800	0%	1%	1%
Total deposits	559,924	593,176	620,633	564,000	594,300	622,400	-1%	0%	0%
Reported NIM	1.97%	1.93%	1.93%	NA	NA	NA			
Credit costs (on net loans to be in line with cons.)	0.37%	0.34%	0.36%	0.37%	0.37%	0.38%	0 bps	-3 bps	-2 bps
CET1 ratio	13.6%	13.7%	13.8%	13.8%	13.9%	14.0%	-18 bps	-16 bps	-16 bps
Statutory ROE	11.2%	13.0%	13.3%	NA	NA	NA			
Statutory ROTE	13.0%	15.1%	15.5%	12.5%	14.3%	15.1%	54 bps	76 bps	36 bps
Dividend declared	1,767	2,089	2,238	1,475	1,670	1,778	20%	25%	26%
Share buyback	2,000	2,500	2,500	2,747	2,564	2,686	-27%	-2%	-7%
Total shareholder return	7.0%	8.5%	8.8%	7.8%	7.8%	8.3%	-85 bps	63 bps	49 bps

Source: J.P. Morgan estimates, Company data, company compiled consensus as of 24 Apr 2026. Share price as of Apr 30 closing.

Valuation is undemanding

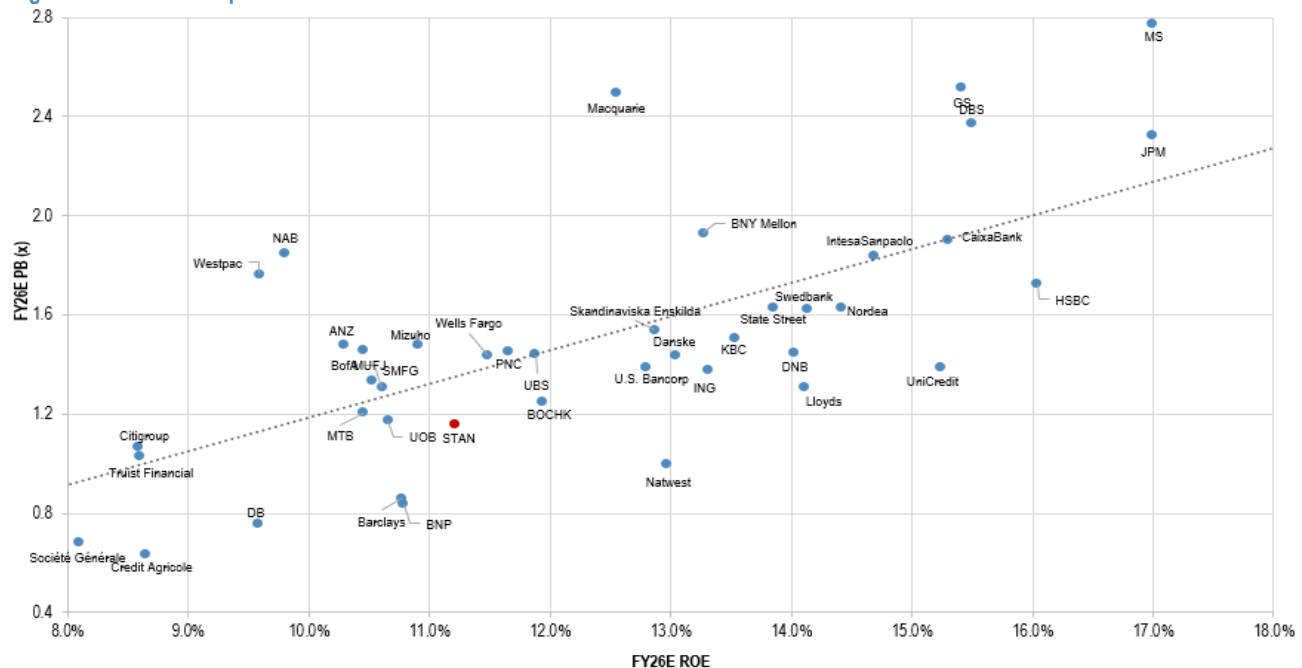
As shown in Figure 1 and Figure 2, STAN is trading at 1.2x 26E P/B with 11.2% ROE, this is at a discount to its large-cap APAC banks peers and DM banks peers.

Figure 1: APAC banks PB-ROE



Source: J.P. Morgan estimates, Bloomberg Finance L.P. Note: Only include banks under our coverage with market cap >US\$20bn.

Figure 2: Global developed-market banks PB-ROE



Source: J.P. Morgan estimates, Bloomberg Finance L.P. Note: Only include banks under our coverage with market cap >US\$20bn.

Investment Thesis, Valuation and Risks

Standard Chartered Plc (HK) (*Overweight; Price Target: HK\$275.00*)

Investment Thesis

We view StanChart as undervalued relative to the sector/EM peers at 1.3x PTNAV 27E with significant earnings growth potential supported by structural growth drivers and relatively high capital return. With the Group's 24-26E targets already achieved by FY25 across revenues and distributions, we now forecast ~6% revenue CAGR across '25-28E driven by non-NII in '26E, and broadening out to both NII/non-NII in outer years. We see this led by Wealth (driven by Affluent segment opportunities), Financial Markets (alongside cross-border income) and Banking. We expect NII to be largely flat in FY26 y/y due to lower rates and pass throughs offset by volume growth. We expect a ~1% cost CAGR for '25-28E as we expect growing investments in the future to capitalize on productivity and revenue opportunities, with positive operating leverage annually and the CIR to decline towards mid-50s. Overall, we expect stated ROTE to grow to ~15%, alongside a 35% dividend payout ratio and \$2-2.5bn/y buybacks, offering a total yield of 7-9%/y. Maintain OW.

Valuation

Our Dec-26 PT of HK\$275 is derived from our DDM analysis with NAV discounted back to Dec-26 from FY28E and a fair P/B of 1.5x. Our key assumptions are a normalized ROE of 12.1% and a cost of capital of 9.3%.

Risks to Rating and Price Target

The key downside risks to our rating and price target include:

- **Macroeconomic risks:** Being an EM-focused bank, StanChart is exposed to general macroeconomic risk in EM such as slowdowns, inflationary pressures, depreciation of EM currencies and cross-border and political risks. Potential weakness in China macro and regional sovereign continue to be risks towards revenues and impairments in the near term, as well as geopolitical tensions creating a potential headwind.
- **Provisioning outlook:** We expect provisions to grow to above normalized levels by 2025 given growing pressures in the economic environment. An increase or decrease in provisions as a result of the economic outlook or with regards to specific cases poses a risk to our forecasts.
- **Regulatory uncertainty:** Standard Chartered remains exposed to the changes in the regulatory environment in the UK with capital requirements being set by the PRA in the UK. While StanChart has limited UK exposure, the group is still subject to regulatory changes such as Basel 4 and BoE stress tests.

Standard Chartered Plc (HK) (2888): Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	FY28E	Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E
Interest income	11,112	11,184	11,372	11,600	12,079	Cash and cash equivalents	48,168	48,168	48,168	48,168	48,168
Interest expense	-	-	-	-	-	Deposits with banks	58,872	58,872	58,872	58,872	58,872
Net interest income	11,112	11,184	11,372	11,600	12,079	Net loans	281,032	286,788	298,403	310,708	323,546
Non interest income	8,308	9,645	10,671	11,529	12,391	PP&E	2,425	2,425	2,425	2,425	2,425
o/w Fee income	-	-	-	-	-	Net intangibles	5,791	6,231	6,418	6,610	6,809
o/w Trading income	0	0	0	0	0	LT investments	404,628	468,699	494,485	521,705	550,111
Net revenues	19,420	20,829	22,043	23,129	24,471	Other assets	48,772	48,772	48,772	48,772	48,772
Non interest expense	(12,402)	(13,145)	(13,232)	(12,947)	(13,585)	Total assets	849,688	919,955	957,543	997,261	1,038,702
o/w Employee costs	-	-	-	-	-	Interest earning assets	400,674	407,310	419,299	431,989	445,223
Pre-Prov. Profits	7,018	7,684	8,810	10,183	10,885	Deposits	464,489	530,161	559,924	593,176	620,633
Provisions	(1,135)	(737)	(1,084)	(1,033)	(1,144)	Borrowings	66,359	67,907	67,730	67,550	67,366
Adj. PBT	5,991	7,009	7,736	9,160	9,751	Other liabilities	274,058	274,829	282,190	287,012	299,308
Income taxes	(1,972)	(1,866)	(2,020)	(2,473)	(2,633)	Total liabilities	804,906	872,897	909,844	947,738	987,307
Minority interest	8	(12)	(13)	(13)	(13)	Shareholder equity	44,388	46,593	47,234	49,058	50,930
Adj. Net profit	3,578	4,592	5,097	6,044	6,463	Minority interests	394	465	465	465	465
PPOP per share	2.76	3.29	4.01	4.84	5.42	Total liabilities and Shareholder equity	849,688	919,955	957,543	997,261	1,038,702
Reported EPS	1.38	1.90	2.30	2.84	3.18	Interest bearing liabilities	-	-	-	-	-
Adj. EPS	1.37	1.91	2.30	2.84	3.18	Book Value Per Share	18.43	20.74	21.99	23.84	26.00
DPS	0.37	0.61	0.80	0.99	1.11	Tangible Book Value Per Share	14.99	16.77	18.13	19.65	21.53
Diluted shares outstanding	2,610	2,404	2,219	2,129	2,030						
Balance Sheet Gearing	FY24A	FY25A	FY26E	FY27E	FY28E	Asset Quality/Capital	FY24A	FY25A	FY26E	FY27E	FY28E
Loans/Deposits	60.5%	54.1%	53.3%	52.4%	52.1%	Loan loss reserves/Loans	(1.4%)	(1.1%)	(1.0%)	(1.0%)	(1.0%)
Investment/Assets	45.7%	49.4%	51.3%	52.0%	52.6%	NPLs/Loans	2.2%	2.1%	2.0%	2.0%	1.9%
Loan/Assets	34.6%	32.6%	31.6%	31.6%	31.6%	Loan loss reserves/NPLs	61.6%	57.8%	51.8%	51.8%	51.8%
Customer deposits/Liabilities	57.7%	60.7%	61.5%	62.6%	62.9%	NPL y/y growth	(14.2%)	(3.9%)	1.0%	2.0%	2.0%
LT debt/Liabilities	8.1%	8.0%	7.6%	7.3%	7.0%	Tier 1 ratio	16.9%	16.6%	16.4%	16.4%	16.4%
						CAR	-	-	-	-	-
Ratio Analysis (%)	FY24A	FY25A	FY26E	FY27E	FY28E	Ratio Analysis (%)	FY24A	FY25A	FY26E	FY27E	FY28E
Net interest margin	2.1%	2.0%	2.0%	1.9%	1.9%	Return on equity (ROE)	8.1%	10.1%	10.9%	12.6%	12.9%
Non interest income/Net revenue	42.8%	46.3%	48.4%	49.8%	50.6%	Return on assets (ROA)	0.4%	0.5%	0.5%	0.6%	0.6%
Non interest income/Avg. Assets	1.0%	1.1%	1.1%	1.2%	1.2%	Operating ROA	0.8%	0.8%	0.8%	0.9%	1.0%
Efficiency ratio	63.9%	63.1%	60.0%	56.0%	55.5%	Pre-Tax ROA	0.8%	0.8%	0.8%	0.9%	1.0%
Leverage ratio	5.0%	4.9%	4.7%	4.7%	4.7%	Pre-Provision ROA	0.8%	0.9%	0.9%	1.0%	1.1%
Revenue/Assets	2.3%	2.4%	2.3%	2.4%	2.4%	Tax rate	32.8%	26.8%	26.1%	27.0%	27.0%
RORWA	1.5%	1.8%	1.9%	2.2%	2.3%						
						Net loans y/y growth	(2.1%)	2.0%	4.1%	4.1%	4.1%
RWA	247,065	258,031	269,663	280,139	290,841	Assets y/y growth	3.3%	8.3%	4.1%	4.1%	4.2%
Avg. RWA	245,608	252,548	263,847	274,901	285,490	RWA y/y growth	1.2%	4.4%	4.5%	3.9%	3.8%
Avg. IEA	407,963	403,992	413,304	425,644	438,606	Deposits y/y growth	(1.1%)	14.1%	5.6%	5.9%	4.6%
Gross Loans	285,936	290,849	302,505	314,892	327,813	Net interest income y/y growth	8.4%	0.6%	1.7%	2.0%	4.1%
Avg. IBL	0	0	0	0	0	Revenues y/y growth	9.4%	7.3%	5.8%	4.9%	5.8%
LLR	(3,948)	(3,087)	(3,118)	(3,180)	(3,244)	Adj. EPS y/y growth	14.0%	39.3%	20.3%	23.5%	12.2%
NPLs	6,203	5,964	6,024	6,144	6,267	BVPS y/y growth	9.4%	12.5%	6.1%	8.4%	9.1%
P/BV (x)	1.3	1.2	1.1	1.0	0.9	IE assets/Assets	48.8%	45.7%	44.0%	43.5%	43.1%
Adj. P/E (x)	17.8	12.8	10.6	8.6	7.6	Margins (as % of Avg. Assets)	1.3%	1.3%	1.2%	1.2%	1.2%
Dividend yield	1.5%	2.5%	3.3%	4.1%	4.6%	LLP/Loans	(0.2%)	(0.2%)	(0.4%)	(0.3%)	(0.4%)
Dividend payout	26.9%	32.3%	35.0%	35.0%	35.0%	Equity/Assets	5.3%	5.1%	5.0%	4.9%	4.9%
						Cost/Assets	1.5%	1.5%	1.4%	1.3%	1.3%
						Assets/Equity	18.8	19.5	20.0	20.3	20.4

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Dec

Other Companies Discussed in This Report (all prices in this report as of market close on 30 April 2026, unless otherwise indicated)

HSBC Holdings plc (0005)(0005.HK/HK\$140.20/OW)

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Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Sep 24, 2002. All share prices are as of market close on the previous business day.

Date	Rating	Price (HK\$)	Price Target (HK\$)
07-Jul-23	OW	66.55	83
01-Aug-23	OW	74.25	90
07-Sep-23	OW	69.20	91
27-Oct-23	OW	59.75	83
16-Jan-24	OW	61.55	79
18-Jan-24	OW	57.35	78
28-Feb-24	OW	63.35	80
10-Apr-24	OW	68.25	82
03-May-24	OW	71.95	86
31-Jul-24	OW	76.90	94
04-Dec-24	OW	96.80	112
17-Feb-25	OW	108.20	120
24-Feb-25	OW	116.00	135
22-Jul-25	OW	141.30	148
04-Aug-25	OW	141.30	162
19-Oct-25	OW	142.00	168
03-Nov-25	OW	157.80	190
05-Feb-26	OW	203.40	265
01-Mar-26	OW	198.50	270

HSBC Holdings plc (0005) (0005.HK, 5 HK) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Dec 31, 2000. All share prices are as of market close on the previous business day.

Date	Rating	Price (HK\$)	Price Target (HK\$)
07-Jul-23	N	61.00	66
07-Aug-23	OW	63.85	80
16-Oct-23	OW	62.50	81
31-Oct-23	OW	57.20	83
17-Jan-24	OW	59.10	81
22-Feb-24	OW	60.25	74
10-Apr-24	OW	63.90	78
02-May-24	OW	67.00	83
06-Aug-24	OW	62.05	86
19-Nov-24	OW	70.55	90
17-Feb-25	OW	84.50	95
20-Feb-25	OW	88.40	108
20-Mar-25	OW	89.75	115
05-May-25	OW	86.20	108
22-Jul-25	OW	98.45	118
01-Aug-25	OW	96.15	122
30-Oct-25	OW	106.50	132
02-Dec-25	OW	110.50	138
05-Feb-26	OW	139.00	165
18-Mar-26	OW	124.80	180

The chart(s) show J.P. Morgan's continuing coverage of the stocks; the current analysts may or may not have covered it over the entire period.

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